

Company incomeTax system

The tax system usually involves a tripartite aspect, namely the tax policy, the tax laws, and the tax administration.

(b) Tax laws: The tax laws include the following notable tax legislations in Nigeria:

(i) Personal Income Tax Act Cap P8 LFN 2004 (as amended); (ii) Companies Income Tax Act Cap C21 LFN 2004 (as amended); (iii) Petroleum Profits Tax Act Cap P13 LFN 2004 (as amended); (iv) Capital Gains Tax Act Cap C1 LFN 2004 (as amended); (v) Value Added Tax Act Cap V1 LFN 2004 (as amended); (vi) Education Tax Act Cap E4 LFN 2004(as amended); and (vii) Stamp Duties Act Cap S8 LFN 2004 (as amended).

In Nigeria, the Constitution vests the legislation of income tax, whether personal or corporate on the Federal Government in order to promote uniformity. However, the three tiers of government share the administration of the various taxes. Tax laws are reviewed periodically in line with the changes in social, political and economic conditions of the country.

The power to impose tax in Nigeria is within the exclusive legislative authority of the Federal Government. There are various machineries set up by the government to ensure strict compliance of these laws; non-compliance attracts penalties and fines.

(c) Tax administration: This involves practical interpretations and application of the tax laws. The bodies charged with the administration of tax in Nigeria are the Federal, the State and Local governments. The tax authorities of these tiers of government derive their formation from the relevant laws which include:

(i) The Federal Inland Revenue Service (FIRS), sections 1, 2, and 3 of the Federal Inland Revenue Establishment Act (FIRSEA) 2007.

(ii) The State Internal Revenue Service (SIRS), section 87 of Personal Income Tax Act Cap P8 LFN 2004 (as amended).

(iii) The Local Government Revenue Committee, section 90 of Personal Income Tax Act Cap P8 LFN 2004 (as amended).

Nature of tax administration

The administration of taxation in Nigeria is vested in various tax authorities depending on the type of tax under consideration. Broadly, there are three tax authorities, namely;

- (a) Federal Inland Revenue Service,
- (b) State Board of Internal Revenue, and
- (c) The Local Government Revenue Committee.

The enabling law in respect of each type of tax will normally contain a provision as to the body charged with the administration of the tax.

For this purpose, the enabling tax laws is the Companies Income Tax Act Cap C21 LFN 2004 (as amended), which imposes tax on the incomes of companies other than corporation soles and companies engaged in petroleum operations (upstream operations).

Organs of tax administration

Joint Tax Board (JTB)

The Joint Tax Board (JTB) is established by Section 86 of the Personal Income Tax Act, Cap P8 LFN 2004 (as amended).

(a) Composition

The JTB comprises:

- (i) The Chairman of the Federal Inland Revenue Service Board, appointed pursuant to Establishment Act, 2007, shall be the Chairman of the JTB;
- (ii) One member from each state, being a person appointed pursuant to section 86(2)(a) of the Personal Income Tax Act (as amended), and a nomination shall be evidenced by a notice in writing delivered to the Secretary to the Board by the Governor;
- (iii) The JTB shall appoint an officer who is experienced in income tax matters to be the Secretary to the Board, and may, in accordance with existing laws, appoint such other staff, from time to time, including secondment or transfer from the public service in Nigeria; and
- (iv) The Legal Adviser of the FIRS shall be in attendance at meetings of the JTB and shall serve as adviser to the Board.

(b) Quorum

Seven members or their representatives shall constitute a quorum {section 86 (6)}.

(c) Functions of the JTB

The board shall:

- (i) Exercise the powers or duties conferred on it by the PITA and other acts;
- (ii) Advise the federal government, on request, in respect of double taxation arrangement with any other country;
- (iii) Advise the federal government, on request, in respect of rates of capital allowances and other taxation matters, having effect throughout Nigeria in respect of any proposed amendment to PITA; (iv) Promote uniformity, both in the application of PITA and in the incidence of tax on individuals throughout Nigeria; and
- (v) Impose its decisions, on matters of procedure and interpretation of PITA, on any State, for purposes of conforming with agreed procedures or interpretations.

State Board of Internal Revenue (SBIR)

Section 87 of PITA, 2004 (as amended), established the State Board of Internal Revenue whose operational arm is known as the State Internal Revenue Service (SIRS).

(a) Composition The State Board of Internal Revenue for each state of the Federation comprises: (i) The Chairman of the State Internal Revenue Service as Chairman of the State Board who shall be a person experienced in taxation and a member of a relevant recognised professional body, appointed by the State Governor, subject to confirmation by the State House of Assembly;

(ii) The Directors from within or outside the State Service;

(iii) A Director from the State Ministry of Finance;

(iv) The Legal Adviser to the State Internal Revenue Service;

(v) Three other persons appointed by the State Governor on their personal merit, one each representing a Senatorial District in the State; and

(vi) The secretary of the State Internal Revenue Service, who shall be an ex- officio member.

(b) Quorum

Any five members of the State Board of Internal Revenue of whom one shall be the chairman or a director, shall constitute a quorum {section 87 (3)}

(c) Functions of the State Board of Internal Revenue

The State Board of Internal Revenue shall be responsible for:

(i) Ensuring the effectiveness and optimum collection of all taxes and penalties due to the government under the relevant laws;

(ii) Doing all such things as may be deemed necessary and expedient, for the assessment and collection of the tax and shall account for all sums so collected, in a manner to be prescribed by the commissioner;

(iii) Making recommendations, where appropriate, to the JTB on tax policy, tax reform, tax legislation, tax treaties and exemptions as may be required, from time to time;

(iv) Generally controlling, the management of the state service on matters of policy, subject to the provisions of the law setting up the State Internal Revenue Service; and

(v) Appointing, promoting, transferring and imposing discipline on employees of the State Internal Revenue Service.

(e) Technical Committee of the State Board of Internal Revenue

(i) Composition

Section 89 establishes the technical committee of the state board, which comprises: • The chairman of the state board as chairman;

• The directors within the state service;

• The legal adviser to the state service; and

• The secretary of the state service.

(ii) Functions

The technical committee shall:

- Have powers to co-opt additional staff from within the state service, in the discharge of its duties.
- Consider all matters that require professional and technical expertise and make recommendations to the state board.
- Advise the state board on all its powers and duties.
- Attend to such other matters as may, from time to time, be referred to it, by the board.

Federal Inland Revenue Service Board

The administration of taxation on the profits of incorporated companies is vested in the Federal Inland Revenue Service (FIRS) whose management board is known as the Federal Inland Revenue Service Board (FIRSB) (sections 1-3, FIRS Establishment Act, 2007).

(a) Composition of the FIRSB

The Federal Inland Revenue Service Board comprises:

- (i) Executive Chairman – who shall be a person experienced in taxation, to be appointed by the President and subject to confirmation of the Senate;
- (ii) Six members with relevant qualifications and expertise, to be appointed by the president to represent each of the six geo-political zones;
- (iii) A representative of the Attorney General of the Federation;
- (iv) The Governor of the Central Bank of Nigeria or his representative;
- (v) A representative of the Minister of Finance not below the rank of a Director;
- (vi) The Chairman of the Revenue Mobilisation, Allocation and Fiscal Commission or his representative who shall be any of the Commissioners representing the 36 states of the Federation;
- (vii) The Group Managing Director of the N.N.P.C. or his representative who shall not be below the rank of a Group Executive Director of the Corporation or its equivalent;
- (viii) The Comptroller-General of the Nigerian Customs Service or his representative, not below the rank of Deputy Comptroller-General;
- (ix) Registrar-general of the Corporate Affairs Commission or his representative not below the rank of a Director;
- (x) The Chief Executive Officer of the National Planning Commission or his representative not below the rank of a Director.

The members of the board, other than the executive chairman, shall be part-time members. Also, the chairman and other members of the board, other than exofficio members shall each hold office: • For a term of 4 years renewable once only.

- On such terms and conditions as may be specified in the letter of appointment.

(b) Powers and functions of the Board and the Service

The Board shall:

- (i) Provide the general policy guidelines relating to the functions of the service;
- (ii) Manage and superintend the policies of the service, on matters relating to the administration of the revenue assessment, collection and accounting system under this act or any enactment or law;
- (iii) Review and approve the strategic plans of the service;
- (iv) Employ and determine, the terms and conditions of service including, disciplinary measures of the employees of the service;
- (v) Stipulate remuneration, allowances, benefits and pensions of staff and employees in consultation with the national salaries, income and wages commission; and
- (vi) Do such other things, which in its opinion, are necessary to ensure the efficient performance of the functions of the Service under the Act.

(c) Duties of the secretary to the FIRSB (Section 12)

There shall be a secretary to the Board who shall be appointed by the board within the FIRS whose duties are to:

- (i) Issue notices of meetings of the board;
- (ii) Keep records of the proceedings of the board; and
- (iii) Carry out such duties as the executive Chairman or the Board may, from time to time, direct.

(d) The Service shall:

- (i) Assess persons including companies enterprises chargeable with tax
- (ii) Assess, collect, account and enforce payment of taxes as may be due to the government or any of its agencies;
- (iii) Collect, recover and pay to the designated account any tax under any provision of this act or any other enactment or law;
- (iv) In collaboration with the relevant ministries and agencies, review the tax regimes and promote the application of tax revenue to stimulate economic activities and development;
- (v) In collaboration with the relevant law enforcement agencies, carry out the examination and investigation with a view to enforcing compliance with the provisions of the Act;

(vi) Make from time to time, a determination of the extent of financial loss and such other losses by government arising from tax fraud, evasion and such other losses (or revenue forgone) arising from tax waivers and other related matters;

(vii) Adopt measures to identify, trace, freeze, confiscate or seize proceeds derived from tax fraud or evasion;

(viii) Adopt measures which include compliance and regulatory actions, introduction and maintenance of investigation and control techniques on the detection and prevention of non-compliance;

(ix) Collaborate and facilitate rapid exchange of information with relevant national or international agencies or bodies on tax matters; . (x) Undertake exchange of personnel or other expert with complementary agencies for purposes of comparative experience and capacity building;

(xi) Establish and maintain a system for monitoring international dynamics of taxation in order to identify suspicious transactions and the perpetrators and other persons involved;

(xii) Provide and maintain access up-to-date and adequate data and information on all taxable persons, individuals, corporate bodies or all agencies of government involved in the collection of revenue for the purposes of efficient, effective and correct tax administration and to prevent tax evasion or fraud;

(xiii) Maintain database, statistics, records and reports on persons, organisations, proceeds, properties, documents or other items or assets relating to tax administration including matters relating to waivers, fraud or evasion;

(xiv) Undertake and support research on similar measures with a view to stimulating economic development and determine the manifestation, extent, magnitude and effects of tax fraud, evasion and other matters that affect effective tax administration and make recommendations to the Government on appropriate intervention and prevention measures;

(xv) Collate and continually review all policies of the Federal Government relating to taxation and revenue generation and undertake a systematic and progressive implementation of such policies;

(xvi) Liaise with the office of the Attorney-General of the Federation, all government security and law enforcement agencies and such other financial supervisory institutions in the enforcement and eradication of tax related offences;

(xvii) Issue taxpayer identification number to every taxable person in Nigeria in collaboration with State Boards of Internal Revenue and Local Government Councils;

(xviii) Carry out and sustain rigorous public awareness and enlightenment campaign on the benefits of tax compliance within and outside Nigeria;

(xix) Carry out oversight functions over all taxes and levies accruable to the Government of the Federation and as may be required, query, subpoena, sanction and reward any activities pertaining to the assessment, collection of and accounting for revenues accruable to the Federation;

(xx) Provide assistance in the collection of revenue claims or any other administrative assistance in tax matters with respect to any agreement or arrangement made between the Government of the Federal Republic of Nigeria and the Government of any country or other persons or bodies as may be deemed necessary in that regard; and

(xxi) Carry out such other activities as are necessary or expedient for the full discharge of all or any of the functions under this Act.

(e) Composition of the Technical Committee of the FIRSB

In order to assist the FIRS in the performance of its duties, provision is made in section 9 of this Act for the setting up of a Committee of the Board, to be known as “the Technical Committee”.

The Technical Committee shall consist of:

- (i) The Executive Chairman of FIRS as Chairman of the Committee;
- (ii) All Directors and heads of departments of the FIRS;
- (iii) The Legal Adviser to FIRS; and
- (iv) Secretary to FIRSB.

The Technical Committee may co-opt from the Service, such staff, as it may deem necessary, for the effective performance of its functions under the Act.

(f) Functions of the Technical Committee The Technical Committee shall:

- (i) Consider all tax matters that requires professional and technical expertise and make recommendations to the board;
- (ii) Advise the board on any aspect of the functions and powers of the FIRS; and
- (iii) Attend to such other matters as may from time to time be referred to it by the board.

BASIS OF ASSESSING COMPANY’S INCOME

Since adjusted profit is computed based on a company’s accounting year, and the assessable profit is determined and assessed to tax, for an assessment year, the question that arises is “how do we determine the assessment year when the profit of an accounting year is assessable to tax?”

This question forms the kernel of the concept of “Basis of Assessment”.

Subsisting business

It should be pointed out that all financial statements up to assessment year 2020 shall be prepared and submitted to FIRS in line with extant provisions on the respective due dates, whilst all returns relating to assessment year 2021 will be based on the changes introduced by the Finance Act, 2019.

The basic principle underlying the concept of “Basis of Assessment” is that the assessable profit for a year of assessment shall be the company’s profits, that is, its adjusted profit for its accounting year ended in the preceding year of assessment.

Succinctly put, it means the profit assessable in a tax year is the company’s profit, that is, adjusted profit for its twelve (12) months accounting period ended in the preceding tax year. This is what is popularly referred to as the “Preceding Year Basis” (PYB) of assessment.

Basis of assessment on commencement of business - section 29 (3) of CITA (as amended)

Section 29 (3) of CITA (as amended) provides that “the assessable profits of any company from any trade or business (or in the case of a company other than a Nigerian company) for its first year of assessment and the two following years of assessment (which years are in this subsection respectively referred to as “the first year”, “the second year” and “the third year”) shall be ascertained in accordance with the following:

(a) For the first year, the assessable profits shall be the profits from the date in which it commenced to carry on such trade or business in Nigeria to the end of its first accounting period;

(b) For the second year, the assessable profits shall be the profits from the first day after its first accounting period to the end of its second accounting period; and

(c) For the third year and for each subsequent year, the assessable profits shall be the profits from the day after the accounting period just ended.

Illustration 1

XYZ Limited commenced business on March 1, 2020, and makes up accounts to October 31, each year.

Required:

State the relevant assessment year and the profits to be assessed.

Solution 1

The first assessment year is 2021 and the profits to be assessed will relate to March 1, 2020 to October 31, 2020.

Illustration 2

XYZ Limited commenced business on April 1, 2020 and makes up accounts to November 30, each year.

Required:

Determine the basis periods for the first four years of assessment

Solution 2

XYZ Limited basis periods for the first four years of assessment

YOA	Basis period
2021	1/4/2020 – 30/11/2020

2022	1/12/2020 – 30/11/2021
2023	1/12/2021 – 30/11/2022
2024	1/12/2022 – 30/11/2023

Ascertainment of the end of the first accounting period

The ascertainment of the end of the first accounting period is key in the determination of basis period and the first year of assessment.

The first accounting period begins from the date of commencement of business to the end of its first accounting year-end.

In a situation where a company prepares the audited financial statements for a period shorter or longer than the first accounting period, the assessable profits for the first accounting year will be determined on pro-rata basis.

Illustration 3

Orion Limited was incorporated in December 2018 and commenced business on October 1, 2019. The first set of financial statements prepared by the company covered a period of 15 months, that is October 1, 2019 to December 31, 2020 and the adjusted profit was N3, 000,000.

Required:

Ascertain the relevant basis periods and the assessable profits for the relevant assessment years.

Solution

Orion Limited

Ascertainment of the relevant basis periods and assessable profits for the relevant assessment years

YOA	Basis period	Assessable profit
2019	1/10/19 – 31/12/19	600,000
2020		– 0
2021	1/1/20 – 31/12/20	2,400,000

Arising from the above, the company did not have any assessable profit for A.Y. 2020, hence it will not pay companies income tax.

Given the provisions of the Finance Act, 2019, the first assessment year which is 2019, falls under the old provision, hence, the basis period (1/10/19 – 31/12/19) was treated in assessment year 2019.

Basis of assessment on a change of accounting date

For an old established business, the basis of assessment of profit is preceding year basis. However, the preceding year basis of assessment cannot be rigidly applied whenever there is a change of accounting date. A normal accounting period may not have ended in the preceding year because whenever there is a change of accounting date, it is either that accounts are prepared for a period of more than twelve (12) months to the new accounting date or alternatively, two sets of accounts are prepared to end in the same tax year. One, for twelve months to the old accounting year end, the other, for less than twelve months to the new accounting year end, and in either situation, special rules apply in determining the basis period for the relevant years of assessment.

Rules on a change of accounting date

Whenever a company fails to make up its accounts to its normal year-end, for the year of assessment in which that failure occurs as well as the following two years, the assessable profits of the company are computed on such basis as the Board in its discretion may determine.

The manner in which the FIRS exercises its discretion, in practice, is as follows:

- (a) Determine the year of assessment in which the company failed to make up accounts to its normal year-end;
- (b) Identify the two (2) years of assessment next following (a) above;
- (c) Compute the assessable profits for the three (3) years of assessment in (a) and (b) above on the old basis, that is, assuming the company has not changed its accounting date;
- (d) Compute the assessable profits for the three (3) years of assessment in (a) and (b) above on the new basis, that is, assuming the company has always prepared accounts to its new year-end;
- (e) Obtain the sum of the assessable profits for the three (3) years for each of the computations in (c) and (d) above; and
- (f) The practice of the FIRS is to choose the higher of the assessable profits for the 3 years in (e) above.

Note: The provision in Section 29(2) CITA confers on FIRS the discretion to determine the basis of assessment on a change of accounting date. In exercising this discretion, the FIRS may assess the year of change and the two following assessment years on actual basis instead of preceding year basis. This, it will do if using the basis, produces a higher assessable profits for those three (3) years put together.

Illustration

Olowo-Lekomo Limited for many years prepared accounts to December 31, but in 2017 decided to prepare a sixteen-month accounts to April 30. The adjusted profits are as follows:

	₦
12 months to December 31, 2015	180,000
12 months to December 31, 2016	240,000

16 months to April 30, 2018	336,000
12 months to April 30, 2019	144,000

Required: Compute the assessable profits for the relevant years of assessment.

Suggested solution

Olowo-Lekomo Limited

Computation of assessable profits

Old basis			New basis	
Tax Year	Basis period	Assessable profit	Basis period	Assessable profit
		₦		₦
2017	1/1/16 - 31/12/16	240,000	1/5/15-30/4/16(w.iii)	200,000
2018	1/1/17-31/12/17(w.i)	252,000	1/5/16-30/4/17(w.iv)	244,000
2019	1/1/18-31/12/18(w.ii)	<u>180,000</u>	1/5/17-30/4/18(w.v)	<u>252,000</u>
		672,000		696,000

Based on the foregoing, the Revenue would assess on the new basis, since this would produce higher assessable profits for 2017 – 2019 assessment years. Consequently, final assessable profits will be as follows:

Assessment year	Assessable profits
	₦
2017	200,000
2018	244,000
2019	<u>252,000</u>
	696,000

Workings: (a) Old basis	Assessable profits
(i) 2018 Assessment year	₦
- 1/1/17 – 31/12/17 = 12/16 x ₦336,000 =	252,000
(ii) 2019 Assessment year	

- 1/1/18 – 30/4/18 = 4/16 x ₦336,000 =	84,000
- 1/5/18 – 31/12/18 = 8/12 x ₦144,000 =	<u>96,000</u>
	180,000

(b) New basis	Assessable profits
(i) 2017 Assessment year	₦
- 1/5/15 – 31/12/15 = (8/12 x ₦180,000) =	120,000
- 1/1/16 – 30/4/16 = (4/12 x ₦240,000) =	<u>80,000</u>
	200,000
(ii) 2018 Assessment year	
- 1/5/16 – 31/12/16 = (8/12 x ₦240,000) =	160,000
- 1/1/17 – 30/4/17 = (4/16 x ₦336,000) =	<u>84,000</u>
	244,000
(iii) 2019 Assessment year	
- 1/5/17 – 30/4/18 = (12/16 x ₦336,000) =	252,000

Basis of assessment on cessation of business - section 29 (4) of CITA (as amended)

“Where a company permanently ceases to carry on a trade or business (or in the case of a company other than a Nigerian company, permanently ceases to carry on a trade or business in Nigeria) in an accounting period, its assessable profits therefrom shall be the amount of the profits from the beginning of the accounting period to the date of cessation and the tax thereof shall be payable within six months from the date of cessation.

Arising from the above, a company that ceased business between January 1 and June 30, will file its returns and pay taxes in that year of cessation, whilst the company that ceased business between July 1 and December 31, will be expected to file returns and pay taxes in the following year.

Illustration

Apex Nigeria Limited that was incorporated in 1990, ceased operation on March 31, 2020, having been in business for over 25 years. The accounting year-end of the company is December 31, annually.

Required: Determine the relevant years of assessment and the due dates of payment of tax.

Solution

YOA	Basis period	Due date of payment of tax
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2020	1/1/19 – 31/12/19	June 30, 2020 (PYB)
2020	1/1/20 – 31/3/20	September 30, 2020 (Six months after the date of cessation)

Illustration

Given the same scenario stated above, assume the company ceased operation on August 31, 2020.

Solution

YOA	Basis period	Due date of payment of tax
2020	1/1/19 – 31/12/19	June 30, 2020 (PYB)
2021	1/1/20 – 31/8/20	February 28, 2021 (Six months after the date of cessation)

Business reorganization and restructuring (Sections 29 (9) of CITA, 32 of CGTA and 42 of VATA) Where management of a company decides to transfer or sell a trade or business carried on by it to a Nigerian company in order to achieve a better reorganisation of the trade or business or transfer its management to Nigeria, it will be entitled to the following concessions: The rules relating to commencement and cessation of business will not apply; (a) Assets would be deemed transferred at written down values (TWDV); (b) The assets transferred or sold will not attract capital gains tax (CGT); and (c) Value added tax shall not apply in the assets transferred or sold.

The following conditions must be met before any entity is entitled to the concessions stated above: (a) The consent of the Federal Inland Revenue Service must be obtained in writing by the parties;

(b) The Service must be satisfied that one company has control over the other or that the companies are controlled by some other person or, are members of a recognised group of companies; and

(c) It is mandatory to prove that the entities were related for not less than a consecutive period of 365 days before the reorganisation.

It is important to point out that all concessions granted shall be withdrawn, if the assets sold or transferred during the process of reorganisation or restructuring are disposed within 365 days of the exercise. All relevant taxes, penalties, and interests shall be charged and paid as if there was no concession.

Receipts and payments after the date of cessation

Any sum received or paid by liquidators of a company that has ceased business, which would have been included in or deducted from the profits of that trade or business if it had been received or paid prior to the date of cessation, shall be deemed to have been received or paid by the company on the last day before such cessation occurred.

Questions

(1) Olori-ebi Limited is a Nigerian company engaged in the manufacture of textile materials. For the year ended December 31, 2017, the company's accounts disclosed a net profit of ₦5million after charging the following:

	₦'000
Staff salaries	1,000
Rent paid on MD's residential accommodation	1,500
Depreciation	500
Penalties and fines	100

You are informed that the annual basic salary of the company's managing director is ₦750,000 while other allowances amounted to ₦2 million.

Required: Compute the adjusted profit of the company for the year ended December 31, 2017.

(2) Pius Ojo Limited changed its accounting date from June 30, to December 31. The following information is made available.

	₦
12 months to 30/6/2012	160,000
12 months to 30/6/2013	192,000
18 months to 31/12/2014	120,000
12 months to 31/12/2015	288,000
12 months to 31/12/2016	320,000

Required: Compute the assessable profits for the relevant assessment years.

TERTIARY EDUCATION TAX

Definition of tertiary education tax

Tertiary education tax is tax imposed by the Tertiary Education Trust Fund Act, 2011 on the assessable profit of all companies registered in Nigeria.

The tax is applicable at the rate of 2% on the assessable profits of a company registered in Nigeria, other than a small company as defined under the Companies Income Tax Act, and it is payable annually.

Objectives and basis of computation of tertiary education tax as provided in the enabling Act

Objectives

Education tax was introduced into the Nigerian tax system through the Education Tax Act, 1993 (ETA 1993) which metamorphosed into Education Tax Act CAP E4 LFN 2004 but is now repealed by the Tertiary Education Fund (Establishment etc.) Act, 2011, to address the funding crisis in the education sector. The Act aims at involving the private sector, being a beneficiary of the products of education to partake in its funding through contribution to the Tertiary Education Trust Fund (TETFund). This has, however, generated a lot of criticism in view of the presence of many taxes in the country which cumulatively erode the profits of companies, hence the general perception of education tax as a disincentive to foreign investment.

The Fund will be specifically used for the provision or maintenance of the following: (a) Essential physical infrastructure for teaching and learning;

(b) Instructional material and equipment;

(c) Research and publication;

(d) Academic staff training and development; and

(e) Any other need which, in the opinion of the Board of Trustees, is critical and essential for the improvement of quality and maintenance of standards in higher educational institutions.

Basis of computation

The rate of tertiary education tax is 2 percent of the assessable profit of a company registered in Nigeria, other than a small company as defined under the Companies Income Tax Act.

The tertiary education tax imposed is due and payable within 60 days after the FIRS has served notice of the assessment on a company.

Imposition, assessment and collection of the tax

Imposition

The Tertiary Education Tax Act 2011, provides for the imposition of the tax. Essentially, Section 1 of the Act provides that as from the commencement of the Act, there shall be charged and payable an annual education tax which shall be assessed, collected and administered in accordance with the provisions of the Act and shall be charged on the assessable profit of a company registered in Nigeria. The Act further provides that the assessable profit shall be ascertained in a manner specified in the Companies Income Tax Act or the Petroleum Profits Tax Act as the case may be.

Assessment

The Act provides that the FIRS shall assess and collect from each company, tertiary education tax imposed for companies' income tax or petroleum profits tax for an accounting period of the company. The Act further provides that the FIRS shall also proceed to assess a company for the education tax due when assessing the company for companies income tax or petroleum profits tax for the accounting period of the company.

Collection

The Act mandates the FIRS to collect tertiary education tax imposed on companies.

The Act also states that the provision of the Act relating to the collection of companies income tax or petroleum profits tax shall, subject to this Act, apply to the tax due under the Act.

The tax is due and payable within 60 days after the FIRS has served notice of the assessment on a company.

The Act also provides that the FIRS may, for the purpose of assessing and collecting tertiary education tax, devise such forms as it may deem necessary.

However, the FIRS is to pay tertiary education tax collected into the TETfund and shall when doing so, submit to the TETfund, in such form as the Board of Trustees of the

TETfund shall approve, a return showing:

- (a) The name of the company making the payment; (b) The amount collected;
- (c) The assessable profit of the company for the accounting period; and
- (d) Such other information as may be required by the TETfund for the proper administration of the tertiary education tax.

The board of trustees shall before the disbursement of the amount in the fund, set aside in each year, an amount not exceeding five percent of the total monies accruing to the Fund in the preceding year which shall be applied for: (a) The cost of administration and management of the fund.

(b) The maintenance of any property acquired by or vested in the fund and generally to pay for services rendered to the fund;

(c) For project monitoring; and

(d) To meet all the needs of the fund necessary for the due administration and implementation of the purpose of this Act.

Exemption of small companies from paying tertiary education tax

A small company means a company that earns gross turnover of N25,000,000 or less.

In line with the provision of section 34 of the Finance Act, 2020, small companies as defined under section 105(1) of the Companies Income Tax Act 2004 (as amended by section 22 of the Finance Act, 2019), are exempted from paying tertiary education tax.

Management and administration of the Tertiary Education Tax Fund (TETfund)

The Board of Trustees is vested with the management and administration of the fund. The Board of Trustees shall administer the tax imposed by the Act and disburse the amount in the fund to federal and state tertiary educational institutions specifically for the provision or maintenance of – (a) Essential physical infrastructure for teaching and learning;

(b) Instructional material and equipment;

(c) Research and publication;

(d) Academic staff training and development; and

(e) Any other need which, in the opinion of the board of trustees, is critical and essential for the improvement of quality and maintenance of standard in the higher educational institutions.

Composition and functions of the board of trustees

Composition

The Board of Trustees shall consist of: (a) A chairman who shall – (i) Be a person with good knowledge in finance and administrative matters; and

(ii) Have qualifications and experiences as are required to perform the functions of that office under the Act.

(b) Six persons, each representing a geo-political zone in the country;

(c) A representative each of the following Federal Ministries, who shall not be below the rank of a Director

(i) Education; and

(ii) Finance.

(d) A representative from the Universities;

(e) A representative from the Polytechnics;

(f) A representative from the Colleges of Education; and

(g) The executive secretary of TETfund who shall be the Secretary to the Board of Trustees.

This brings the total number of members of Board of the Trustees to thirteen persons.

The membership of the Board of Trustees shall reflect the six-geopolitical zones of the Federation and members shall be persons of considerable experience from both the public and private sectors and appointed by the President on the recommendation of the Education Minister to represent the business, financial and education sectors.

Each member other than the ex-officio members, shall hold office for a term of four years in the first instance and may be eligible for re-appointment for a further term of four years and no more.

The Board shall meet for the conduct of its ordinary meetings four times in a calendar year. Notwithstanding the foregoing, the Board may meet to conduct such other business as exigency demands.

Functions

The following are the functions of the Board of Trustees: (a) Monitor and ensure collection of tertiary education tax by the FIRS and ensure transfer to the fund;

(b) Manage and disburse the tax imposed by the Act;

(c) Liaise with the appropriate ministries or bodies responsible for collection or safekeeping of the tax;

(d) Receive requests and approve admissible projects after due consideration;

(e) Ensure disbursement of funds to various public tertiary educational institutions in Nigeria;

(f) Monitor and evaluate execution of the projects;

(g) Invest funds in appropriate and safe securities;

(h) Update the Federal Government on its activities and progress through annual and audited reports;

(i) Review progress and suggest improvements within the provisions of the Act;

(j) Do such other things as are necessary or incidental to the objects of the fund under the Act or as may be assigned by the Federal Government;

(k) Make and issue guidelines from time to time to all beneficiaries on disbursements from the Fund on the use of monies received from the fund; and

(l) Regulate the administration, application and disbursement of monies from the Fund under the Act.

Illustration The assessable profit of Adobe Limited for assessment year 2011 was ₦ 65 million.

Required; Compute the tertiary education tax due.

Solution The tertiary education tax is 2% of ₦ 65 million, that is, ₦ 1,300,000.

Allocation and distribution of the tax

The total tax collected in a year is disbursed in the ratio 2:1:1 amongst the universities, polytechnics and colleges of education, as shown below: (a) Universities - 50%

(b) Polytechnics - 25%

(c) Colleges of Education - 25%

The Board of Trustees shall have power to give due consideration to the peculiarities of each geo-political zone in the disbursement and management of the tax imposed by this Act between the various levels of tertiary education.

The Minister for Education shall, on the recommendation of the Board of Trustees and subject to approval by the President, make guidelines for the disbursement of funds under the Act.

Offences and penalties

If tertiary education tax is not paid within 60 days, the Federal Inland Revenue Service will serve, on the company, a demand note for the unpaid tax a sum which is equal to 5 per cent of the tax. In addition to such penalty, the tax payable shall carry interest at bank lending rate from the date when the tax becomes payable until it is paid.

If the tax and penalty are not paid within a further period of two months of the demand, the company is guilty of an offence. The FIRS shall with the approval of the board of trustees of TETFund remit in whole or in part a sum added to the unpaid tax. Notice that other officers of such company are severally guilty of that offence of default and liable to be prosecuted against and punished for the offence in like manners as if they themselves committed the offence, unless they prove that the act or omission constituting the offence took place without their knowledge, consent or connivance. The person guilty of the offence shall, on conviction, be liable:

- (a) For the first offence, to a fine of up to ₦ 1,000,000 or imprisonment for a term of six months or both; and
- (b) For a second and subsequent offence, to a fine of up to ₦ 2,000,000 or imprisonment for a term of twelve months, or both such fine and imprisonment.

The institution of proceedings or imposition of a liability under the Act shall not relieve a company from liability to pay to the FIRS, a tax which is or may become due under the Act.

Section 35 of the Finance Act, 2020, deleted section 10 of Tertiary Education Trust Fund (Establishment, etc) Act, 2011, which relates to offences. The implication of this is that there are no recognised offences in the administration and application of the Act.

In the same vein, section 36 of the Finance Act, 2020, deleted section 11(3) of Tertiary Education Trust Fund (Establishment, etc) Act 2011, which relates to penalties for those who are found guilty of any of the offences under the Act.

It is, however, surprising that section 11(2) of Tertiary Education Trust Fund (Establishment, etc) Act, 2011, is still retained. It states “The institution of proceedings or imposition of a penalty under the Act shall not relieve a company from liability to pay to the Federal Inland Revenue Service a tax which is or may become due under this Act”.

Arising from the above, it is believed that it is only when there are offences that the issue of penalties can arise. Pending further clarification(s) from the Service, the offences as stated in the first three paragraphs are retained.

COMPANY INCOME TAX ASSESSMENT

In a trade or business, the profit or loss of the company is the difference between the income and expenses incurred in generating the income. This can be illustrated using the following proforma:

XYZ Limited Statement of profit or loss For the year ended December 31, 2017

	'000
Revenue	xxx
Cost of sales	(xx)
Gross profit	xxx
Deduct: Overhead expenses	(xx)
Net profit/loss	xx

The net profit as ascertained above is an accounting profit, having been arrived at after taking into consideration, all known principles of accounting, as well as the company's accounting policies.

However, the accounting profit/loss arrived at above, cannot be used for the purpose of computing the tax payable by a company.

The accounting profit has to be converted to tax profit usually referred to as adjusted profit/loss before it is used for the determination of total profit/loss and, consequently, the computation of tax payable.

The process of converting the accounting profit to arrive at the tax profit or adjusted profit involves the application of the provisions of tax laws that allow for the exclusion from tax of some income/profit, that is, exempted income/profit and allowable/ disallowable expenses. Simply put, the conversion is achieved using a pro-forma computation for the purpose of illustration as follows:

XYZ Limited Computation of adjusted profit For the year ended December 31, 2017

	'000
Net profit per accounts	xxx
Deduct: Non-taxable incomes	xx
	xxx

Add: Disallowable expenses	xx
Adjusted profit/(loss)	xxx

Persons chargeable to company's income tax – Section 47

The applicable law governing the taxation of companies (other than companies engaged in petroleum operations) is the Companies Income Tax Act (CITA) CAP C21 LFN 2004 (as amended).

Company's income tax refers to tax payable on the profits of a company accruing in, derived from, brought into or received in Nigeria (Section 9 CITA).

A company shall be chargeable to company's income tax: -

- (a) In its own name; or
- (b) In the name of a principal officer, attorney, factor, agent or representative in Nigeria; or
- (c) In the name of a receiver or a liquidator, that is, where the company is in receivership or liquidation or its attorney, agent or representative in Nigeria.

For the purpose of company's income tax, a "company" is defined in Section 105 of CITA as: "Any company or corporation (other than a corporation sole) established by or under any law in force in Nigeria or elsewhere".

The implication of this is that income tax is payable not only on the worldwide income of a Nigerian company, that is, a company incorporated in Nigeria, but also on the profits of a foreign company, that is, company incorporated under any law in force, in any territory or country outside Nigeria to the extent that such profit, is derived or deemed to be derived, from Nigeria (Section 13 of CITA).

Taxable and non-taxable income

Taxable income

Tax is imposed on the profits of any company accruing in, derived from, brought into or received in Nigeria. The taxable profits are those in respect of the following:

- (a) Any trade or business for whatever period of time such trade or business may have been carried on ;
- (b) Rent or any premium arising from a right granted to any other persons for the use or occupation of any property;
- (c) Dividends, interest, discounts, royalties, charges or annuities;
- (d) Any source of annual profits or gain not falling within the preceding categories. The purpose is to ensure that no taxable profits escape the tax net of the Board; and

(e) Fees, dues and allowances (wherever paid) for services.

Non-taxable income

The following incomes or profits are exempt from liability to company's income tax:

(a) Interest on a foreign loan granted on or after April 1, 1978, is exempted from tax within the limits prescribed in the Third Schedule to CITA 2004 (as amended).

(b) Interest on any loan granted by a bank on or after January 1, 1997, to a company engaged in: (i) Primary agricultural production; or (ii) Local fabrication of any plant and machinery; or (iii) Providing working capital for any cottage industry established by the company under the Family Economic Advancement Programme (FEAP) provided moratorium is not less than twelve (12) months and interest is not more than base lending rate at the time the loan was granted, refinanced or otherwise restructured.

(c) Interest on a loan granted by a bank on or after April 1, 1980, for the purpose of manufacturing goods for export within the limits provided for in the Third Schedule to CITA (as above), provided a certificate issued by Nigerian Export Promotion Council (NEPC), is presented stating that the level of export specified has been achieved by the company (borrower).

Profits/income exempted from tax

Examples are as follows:

(i) Dividend distributed by a Unit trust;

(ii) Dividends derived by a company from another company incorporated in Nigeria provided the recipient of the dividend: • is the beneficial owner of not less than ten percent of the equity capital of the company paying the dividend; and • Wholly paid for its equity participation in the company paying the dividend, in foreign currency or by asset brought into or imported into Nigeria, between January 1, 1987 and December 31, 1992;

(iii) Profits of a company engaged in petroleum operations, within the meaning of Section 2 of the Petroleum Profits Tax Act CAP P13 LFN 2004, to the extent that such profits are subject to tax under that Act;

Profits of a company engaged in petroleum marketing are liable to companies income tax as their business does not fall within the definition of petroleum operations as contained in Section 2, PPTA;

(iv) Dividend, interest, rent, royalty derived by a company from a country outside Nigeria and brought into Nigeria through government approved channels;

Government approved channel means Central Bank of Nigeria (CBN) or any bank or other body corporate appointed by the minister as authorised dealer under the Second-Tier Foreign Exchange Market Act;

(v) Interests on deposit account of a foreign non-resident company provided the deposits are in respect of foreign currencies transferred into the account on or after January 1, 1990 through government approved channels;

(vi) Profits of a small company in a relevant assessment year provided; ☐ Such company shall without prejudice to this exemption, comply with the tax registration and tax return filing stipulations of this Act and be subject to the provisions as regards time of filing, penalties for breach of statutory duties and all other provisions of this Act in all respects during the period which its profits are below the tax paying threshold; or

They are dividends received from small companies in the manufacturing sector in the first five years of their operations.

(vii) Dividend received from investments in wholly export oriented business;

(viii) Profits of a Nigerian company in respect of goods exported from Nigeria if the proceeds of such exports are used for the purchase of raw materials, plant, equipment and spare parts; provided that tax shall accrue proportionately on the portion of such proceeds which are not utilised in the manner prescribed.

(ix) Dividend received by a Nigerian company from another Nigerian company after deduction of withholding tax shall be regarded as Franked Investment Income in the hands of the recipient company and shall not be subject to further company's income tax as part of the profits of the recipient company. The concept of franked investment income is that the dividend has been paid out of a profit that has been subjected to corporate tax.

The implication of this is that the Franked Investment Income (FII) is excluded in computing the adjusted profit of the recipient company, since such income is excluded from taxable profit, it is not necessary to gross up the dividend received. It is just appropriate to exclude whatever has earlier been credited, which invariably will be the net dividend received for tax purpose. It should be noted that where the recipient company includes in its own accounts the franked investment income, and re-distributes same as dividend to its own shareholders, and withholding tax is to be accounted for on the gross amount of the dividend, the company may set-off the withholding tax which it has itself suffered on the same income;

(x) Interest earned on bonds issued by the federal, state or local government and their agencies with effect from June 14, 2011;

(xi) Interest earned on bond issued by corporate and supra-nationals;

(xii) Interest earned by holders of bonds and short term securities listed in (ix) and (x) above;

(xiii) The profits of any company being a statutory or registered friendly society, in so far as such profits are not derived from a trade or business carried on by such society;

(xiv) The profits of any company being a co-operative society registered under an enactment or law relating to co-operative societies, not being profits from any trade or business carried on by that company other than co-operative activities solely carried out with its members or from any share or other interest possessed by that company in a trade or business in Nigeria carried on by some other persons or authority;

(xv) The profits of any company formed for the purpose of promoting sporting activities where such profits are wholly expendable for such purpose, subject to such conditions;

(xvi) The profits of any company being a trade union registered under the Trade Unions Act in so far as such profits are not derived from a trade or business carried on by such trade union;

(xvii) The dividend and rental income received by a real estate investment company on behalf of its shareholders provided that; □ A minimum of 75% of the dividend and rental income is distributed; and □ Such distribution is made within 12 months of the end of the financial year in which the dividend or rental income was earned;

(xviii) The compensating payments, which qualify as dividends under section 9 (1) (c) of this Act, received by a lender from its approved agent or a borrower in a regulated securities lending transaction, such payments are deemed to be franked investment income and shall not be subjected to further tax in the hands of the lender;

(xix) The compensating payments which qualify as dividends or interest under section 9(1)(c) of this Act, received by an approved agent from a borrower or lender on behalf of a lender or borrower in a regulated securities lending transaction; and

(xx) The profits of any company engaged in ecclesiastical, charitable or educational activities of a public character in so far as such profits are not derived from a trade or business carried on by such company.

Section 23 (1)(c) of Companies Income Tax Act Cap C21 LFN 2004 (as amended) states that “there shall be exempt from the tax the profits of any company engaged in ecclesiastical, charitable or educational activities of a public character in so far as such profits are not derived from a trade or business carried on by such company”.

Section 21 of Finance Act, 2020, defines public character with respect to any organisation or institution as “organisation or institution

(a) That is registered in accordance with relevant laws in Nigeria; and (b) Does not distribute or share its profit in any manner to members or promoters”.

Allowable and disallowable expenses

Allowable expenses

Unless otherwise provided, for the purposes of ascertaining the chargeable profit or loss of any company from any source, only expenses incurred wholly, exclusively, necessarily and reasonably in the production of the profits shall be allowable as deductions for tax purposes. Examples of allowable expenses provided for in CITA are:

(a) Subject to the provisions of the seventh schedule to this Act, any sum payable by way of interest on debt borrowed and employed as capital in acquiring the profits of a company;

(b) Rent and premium paid by the company for the period of assessment in respect of land or building, occupied and used for the purpose of generating the profits:

Where a building is occupied by the company's employees as residential accommodation, the rent or premium paid by the company which is chargeable or allowable in company's account for income tax purposes, is restricted to 100% of the basic salary of such employees;

(c) Salaries, wages, or other remuneration as well as any benefits-in-kind or allowance granted by the company to senior staff and executives within the limits prescribed by collective agreement entered into between the company and its employees and as approved by Federal Ministry of Labour, Employment and Productivity;

(d) Repairs and renewal in respect of premises, plant, machinery or fixtures, implements, utensils or articles employed in acquiring the profit;

(e) Bad debts incurred in the course of trade or business proved to have become bad, during the period and specific provision for doubtful debts;

(f) Research and development expenses incurred by the company for the period including levy payable to National Science and Technology Fund;

(g) In the case of the Nigerian Railway Corporation such deductions as are allowed under the provisions of the Authorised Deductions (Nigerian Railway Corporation) Rules, which Rules shall continue in force for all purposes of this Act;

(h) In the case of profits from a trade or business, any expenses or part thereof: ☐ The liability for which was incurred during that period wholly, exclusively, necessarily and reasonably for the purposes of such trade or business and which is not specifically referable to any other period or periods; or

☐ The liability for which was incurred during any previous period wholly, exclusively, necessarily and reasonably for the purpose of such trade or business and which is specifically referable to the period of which the profits are being ascertained; and

☐ The expenses proved to the satisfaction of the Service to have been incurred by the company on research and development for the period including the amount of levy paid by it to the National Science and Technology Fund;

(i) Such other deductions as may be prescribed by the Minister by any rule;

(j) Dividends or mandatory distributions made by a real estate investment company duly approved by the Securities and Exchange Commission, to its shareholders;

(k) Compensating payments, which qualify as interest under section 9(1)(c) of this Act, made by a lender to its approved agent or a borrower in a regulated securities lending transaction;

(l) Allowable donations (Section 25, CITA) In ascertaining the profits or losses of a company chargeable to tax for any period, there shall be deducted, donations made during that period by the company.

The conditions for allowing such donations are as follows:

(i) Donations must be made to any of the funds, bodies, institutions in Nigeria contained in the Fifth schedule to CITA;

(ii) Donations must be made out of profit, that is, donations shall not be allowed in circumstances where it will increase the loss of a company or convert its profit into a loss;

(iii) Donations must not be of a capital nature except donation to a university or other tertiary or research institutions; and

(iv) Donations must not exceed 10% of the company's total profits for an assessment year before any deduction for donation. In the case of donation to tertiary or research institution, up to 15% of total profit or 25% of tax payable in the year whichever is higher.

(v) Donations made by companies in cash or kind to any fund set up by the Federal Government or any state government, or to any agency designated by the Federal Government or to any similar Fund or purpose in consultation with any Ministry, department or agency of the Federal Government, in respect of any pandemic, natural disaster or other exigency shall be allowed as deductions as follows: (i) The cost of in-kind donations made to the Government and any designated agency shall be allowed as deductions; or (ii) Where companies have either procured or manufactured items for contribution, the cost of purchase, manufacture or supply of such in-kind contributions shall be allowed as deductions. Provided that requisite documentation evidencing the donation and the cost thereof are provided to the relevant tax authority and demonstrated to be wholly, reasonably, exclusively and necessarily incurred in relation to the procurement, manufacture or supply of the in-kind contributions.

(vi) The amounts allowable for deduction in respect of (v) above, in any year of assessment shall be limited to 10% of assessable profits after deduction of other allowable donations made by the company.

Allowable deductions - research and development expenditure

In ascertaining the profit or loss of any company for any period from any source chargeable to tax, there shall be deducted the amount of reserve (provision) made out of the profits of that period for research and development.

Such provision shall not exceed ten percent (10%) of total profits of the company for that year before deducting the reserve/provision.

Companies and other organisations engaged in research and development activities for commercialisation shall be allowed 20% investment tax credit on their qualifying expenditure for that purpose.

Waivers or refunds of liability or expenses

In ascertaining the profits or losses of a company for any period chargeable to tax, there shall be included: (a) Any income waived, released or refunded in respect of any liability or expense previously allowed in computing the chargeable profit of a company; and

(b) All sums recovered during a period in respect of bad debts previously written off, or specific provision for doubtful debts previously allowed in computing the chargeable profit of a company in a previous period.

Disallowable expenses section 27 CITA 2004 (as amended)

In the ascertainment of the profit or loss of a company for a period, certain expenses are not allowed.

Examples of such expenses are:

- (a) Capital repaid or withdrawn and any expenditure of a capital nature;
- (b) Sums recoverable under an insurance or contract of indemnity;
- (c) Taxes on income or profits, except tax levied outside Nigeria on profits, which are also chargeable to tax in Nigeria and in respect of which double tax relief is not available;
- (d) Depreciation – In place of depreciation charged in the accounts, and disallowed, capital allowances on qualifying capital expenditure are granted;
- (e) Any expense whatsoever incurred within or outside Nigeria involving related parties as defined under the transfer pricing regulations, except to the extent that it is consistent with the transfer pricing regulations;
- (f) Any expense incurred in deriving tax exempt income, losses of capital nature and any expense allowable as a deduction under the Capital Gains Tax Act for the purpose of determining chargeable gains;
- (g) Any compensating payment made by a borrower, which qualifies as dividends under section 9 (1)(c) of this Act, to its approved agent or to a lender in a Regulated Securities Exchange Commission;
- (h) Any compensating payment made by an approved agent, which qualifies as interest or dividends under section 9 (1)(c) of this Act, to a borrower or lender in a regulated securities exchange transaction;
- (i) Any penalty prescribed by any Act of the National Assembly for violation of any statute; and
- (j) Any tax or penalty borne by a company on behalf of another person.

Expenses incurred in deriving exempt income

Section 27 (1)(h) of CITA (as amended) and as stated above, any expense incurred in deriving tax exempt income, losses of a capital nature and any expense allowable as a deduction under the Capital Gains Tax Act for the purposes of determining chargeable gains are not allowed in the computation of a company's assessable profits. Put differently, where a deductible expense is incurred for the purposes of generating both exempt and non-exempt income, only the portion that relates to the income assessable to tax shall be allowed as a deduction.

Computation of assessable profit

The assessable profit of a company is its adjusted profits or part thereof that is assessed to company's income tax, in an assessment year.

While adjusted profit is computed based on the accounts of a company for whatever period covered by such accounts (normally twelve months), assessable profit is determined and assessed to tax for an assessment year.

Conversely, a company's accounting year, is the period for which it prepares its annual accounts. It is usually a twelve (12) months period, which may begin and end in the same year (for example, January 1 – December 31) or commence in a year and end the following year (for example, July 1 – June 30).

QUESTION

Mr. Danko Chinyere who has worked in a neighbouring African country for many years, returned to Nigeria in August 2018. He incorporated a private limited liability company known as ChiDan Limited located in Lagos on October 30, 2018. The company deals in processing and packaging of plantain chips for local consumption.

The directors of the company opened a business bank account with one of the leading commercial banks in November 2018. The company commenced full operations on January 2, 2019.

An extract of the company's first set of financial statements made up to December 31, 2020 are as follows:

	N'000	N'000
Gross turnover		<u>860,250</u>
Gross profit		307,734
Profit on disposal of plant, property and equipment		<u>7,860</u>
		315,594
Administrative and other expenses:		
Salaries and wages	62,810	
Directors' remuneration	9,000	
Electricity and generator running expenses	4,815	
Rents and rates	36,270	
Repairs and renewal	10,230	
Motor vehicle expenses	32,535	
Donations and subscriptions	9,300	
Interest and bank charges	6,780	

Bad and doubtful debts	8,870	
Miscellaneous expenses	20,770	
Loss of fund	12,800	
Audit fees	8,600	
Legal and professional charges	7,725	
Depreciation	42,825	<u>(273,330)</u>
Net profit		42,264

The following additional information is provided:

(i) Donations and subscriptions include:

	N'000
Lagos Chamber of Commerce	750
Motor Boat Club	300
Polo Club	250
Political parties	7,500
Approved National Relief Fund	<u>500</u>
	9,300

(ii) Bad and doubtful debts consist of :

	N'000
(iii) Allowance for doubtful debts	3,000
(iv) Specific provision	4,245
(v) Bad debts written off	<u>1,625</u>
	8,870

(iii) Miscellaneous expenses include:

	N'000
Court fine	600
Exchange loss on remittances and balances	7,910
Allowable office expenses	<u>12,260</u>
	20,770

(iv) Loss of fund: A director defrauded the company to the tune of N9, 800,000.

(V) Legal and professional charges include:

	N'000
Debt collection and retainership fees	3,975
Land acquisition	<u>3,750</u>
	7,725

(vi) Capital allowances as agreed with the Revenue amounted to N30, 380,000.

Required:

(A) Determine The income tax liabilities payable for the relevant year of assessment

LOSS RELIEF

Introduction

A company makes a loss from its trade or business, when its allowable operating expenses exceed its total income or earnings.

A company that makes a loss from its trade or business is entitled to relieve such loss by carrying it forward for set-off against the assessable profits of subsequent assessment years commencing from the year following that in which the loss occurs.

Types of loss relief

(1) Current year loss relief

This is one of the methods of relieving losses. It is applicable to only individuals. It is also not available to property letting business. In this case, losses incurred from a particular source of income can be relieved against other sources (including balancing charge).

In order to enjoy this relief, a written claim must be made within twelve months after the end of the year of assessment in which the loss arises.

Any unrelieved loss can only be set off against profit from the source from which the loss was incurred.

(2) Carry forward loss relief

This relief is available only against profit from the same source of income where the loss originally occurred. It does not require approval before the relief can be granted. The relief also applies to both individuals and corporate bodies.

Rules on loss relief

The following points are to be noted in the application of the rules on loss relief for companies:

(a) Trading loss to be deducted from assessable profits of an assessment year, shall not exceed the actual loss incurred by the company in the previous assessment year;

(b) Losses are not aggregated with assessable profits in the computation of a company's total profits, in strict compliance with the provision of Section 31 (1) of CITA. Consequently, a trading loss from one of the company's sources of profits cannot be set-off against profits from another source; A loss incurred from a particular line of business can only be relieved in future years from assessable profits derived from the same source or line of business;

(c) When losses incurred in two different assessment years are being carried forward against future profits, the first loss incurred will be relieved in priority to the subsequent loss;

- (d) When trade ceases, any terminal loss resulting therefrom which could not be relieved in the year of cessation due to insufficiency or non-availability of profit, is deemed lost;
- (e) There is no provision under the Nigerian tax system for carry-back of terminal loss; and
- (f) A claim for relief of losses takes precedence over claim for capital allowances.

Illustration

Posu Nigeria limited has been sustaining losses for many years but made a good recovery in 2017. The adjusted results of the company for the following years are as follows;

	₦
Year ended Dec 31 2012	Loss 350,000
Year ended Dec 31 2013	Loss 250,000
Year ended Dec 31 2014	Loss 457,000
Year ended Dec 31 2015	Loss 75,000
Year ended Dec 31 2016	Profit 79,000
Year ended Dec 31 2017	Profit 450,000

Capital allowances for the periods are as follows:

Assessment Year	₦
2013	25,000
2014	37,500
2015	32,000
2016	45,000

Required: Compute the company's tax liabilities for 2013 – 2016 assessment years. Ignore minimum tax provisions.

Suggested solution to Illustration

Posu Nigeria limited

Computation of company's tax liabilities

For assessment years 2013 – 2016

	₦	₦
Assessment year 2013	Basis period (1/1/12-31/12/12)	

Loss for the year	(350,000)	
Add: Capital allowances for the year	(25,000)	
Unrelieved loss and capital allowance c/f		(375,000)

Assessment year 2014 Basis period (1/1/13 - 31/12/13)

Loss for the year	(250,000)	
Add: Unrelieved loss b/f	(350,000)	
	(600,000)	
Capital allowances - for the year	37,500	
- b/f	25,000	
	(62,500)	
Unrelieved loss and capital allowances c/f		(662,500)

Assessment year 2015 Basis period
(1/1/14-31/12/14)

Loss for the year	(457,000)	
Add: Unrelieved losses b/f	(600,000)	
	(1,057,000)	
Capital allowances – for the year	32,000	
– b/f	62,500	
	(94,500)	
Unrelieved loss and capital allowances c/f		(1,151,500)

Assessment year 2016 Basis period
(1/1/15-31/12/15)

Loss for the year	(75,000)	
Add: Unrelieved losses b/f	(1,057,000)	
	(1,132,000)	
Capital allowances – For the year	45,000	
– b/f	94,500	

	(139,500)	
Unrelieved losses & capital allowances c/f		(1,271,500)

Definition and types of capital allowances

Definition

Capital allowances are a form of relief granted to any company which incurred qualifying capital expenditure for the purpose of a trade or business during a basis period in respect of property, plant and equipment that are in use at the end of the basis period. Capital allowances are granted in place of depreciation which is usually disallowed for income tax purposes. Capital allowances include initial allowance, annual allowance, balancing allowance/charge and investment allowance.

Initial allowance (IA)

This is a relief that is granted in the year of assessment in the basis period of which a qualifying capital expenditure was incurred. In effect, it is an allowance that is granted once in the life of any asset for as long as it is beneficial, owned and used by the same owner.

Annual allowance (AA)

This is granted every year, on the residue of qualifying capital expenditure, incurred on non-current assets, after deducting the initial allowance. Annual allowance is computed on a straight line basis.

Balancing allowance/charge

This is the difference between the tax written down value and sale proceeds on the disposal of an asset. Proceeds can also be in the form of insurance claim. Where the tax written down value exceeds the sale proceeds, the difference is a balancing allowance.

Where it is the other way round, the difference is a balancing charge. The latter is a claw back of capital allowances previously enjoyed by the company and should not exceed the reliefs actually given.

Investment allowance

This is an incentive granted where a company has incurred expenditure on plant and equipment (Section 32 (1)) of CITA or on plant and machinery (Second Schedule (Para 18 (3)) of CITA. The investment allowance is granted at the rate of 10% of qualifying expenditure and such allowance shall not be taken into account in ascertaining the tax written down value of qualifying expenditure.

Rural investment allowance

This is an allowance given in addition to an initial allowance to a company which incurs capital expenditure or the provision of facilities such as electricity, water or tarred road for the purpose of a trade or business which is located at least 20 kilometres away from such facilities provided by the government.

The rate of the rural investment allowance shall be as follows:

- (a) No facilities at all - 100%
- (b) No electricity - 50%
- (c) No water - 30%
- (d) No tarred road - 15%

The rural investment allowance shall be made against the projects of the year in which the said facility falls and the allowance or any balance shall not be available for carry forward to any subsequent year.

Export processing zone allowance

This allowance is granted to a company which has incurred an expenditure in its qualifying building and plant equipment in an approved manufacturing activity in an export processing zone. The rate granted is 100 per cent capital allowance in any year of assessment. The company shall not be entitled to an investment allowance.

Definitions and types of qualifying capital expenditure

Qualified capital expenditure means expenditure incurred on assets used for a trade or business, which qualifies for capital allowances in a basis period. Categories of capital expenditure that qualify for the grant of capital allowances are as follows:

1 Qualifying building expenditure - that is, expenditure on buildings, structures or work of a permanent nature.

2 Qualifying industrial building expenditure, that is, expenditure on buildings or structure in regular use, such as a mill or a factory, mechanical workshops, dock, port and wharf.

3 Qualifying mining expenditure - expenditure on working a mine, oil well, etc.).

4 Qualifying plant expenditure - that is, expenditure incurred on plant, machinery and fixtures.

5 Qualifying plantation expenditure - expenditure incurred on clearing of land for planting, etc.

6 Qualifying research and development expenditure, that is, expenditure incurred on equipment, facilities, patent and licences, etc.

7 Qualifying agricultural expenditure (expenditure incurred on plant in use for agricultural trade or business).

8 Qualifying public transportation, new mass transit coach expenditure.

9 Qualifying capital expenditure incurred on the development or acquisition of software or other electronic applications.

Conditions for granting capital allowances

Capital allowances are granted if the following conditions are satisfied:

- (a) The company must have incurred qualifying capital expenditure;
- (b) The claimant must remain the beneficial owner of the asset at the end of the basis period of the company,
- (c) The asset must be in use wholly, exclusively, necessarily and reasonably for the purpose of a trade or business carried on by the company at the end of its basis period.

Note A period of temporary disuse is ignored for this purpose, provided that the asset is brought into use before disposal.

Capital allowances rates and restrictions

Capital allowances rates

The rates are as indicated below:	%	%
Qualifying expenditure in respect of:	Initial	Annual
Building expenditure	15	10
Industrial building expenditure	15	10
Manufacturing industrial plant expenditure	50	25
Mining expenditure	95	NIL
Plant expenditure (excluding furniture & fittings)	50	25
Construction plant expenditure (excluding furniture and fittings)	50	25
Furniture and fittings expenditure	25	20
Motor vehicle expenditure	50	25
Public transportation motor vehicle	95	NIL
Plantation equipment expenditure	95	NIL
Agricultural plant expenditure	95	NIL
Housing estate expenditure	50	25
Ranching and plantation expenditure	30	50
Research and development expenditure	95	NIL

(b) Restrictions of capital allowances Capital allowances to be deducted from assessable profits of companies in any year are restricted to 66²/₃% of such assessable profits, except for companies engaged in agro-allied industry and manufacturing.

Capital allowances are also restricted when: (i) There is a private use, restrict amount granted to official use; and

(ii) The basis period is less than 12 months, restrict amount calculated to the number of months in the basis period.

Basis period for capital allowances

Introduction

Based on the provisions of the Finance Act, 2019, the problems of overlapping and gaps between basis periods have been addressed, hence the situations no longer exist.

Basic principles The basis period for capital allowances is the same as that for the assessment of the profits of a company. This means that capital allowances are given in an assessment year in respect of assets acquired or qualifying expenditure incurred in the preceding year of assessment.

Illustration A company commenced business on February 1, 2020 and makes up its accounts to March 31, every year. It acquired property, plant and equipment as follows:

Date	Assets purchased	Cost
1/2/2020	Building	N5 million
1/2/2020	Furniture	N1.5 million
1/4/2020	Machinery	N 2 million
3/5/2020	Jeep motor vehicle	N 3 million

The turnover for each of the relevant assessment years was over N27million.

Required: Determine the basis period and compute the capital allowances for all the relevant assessment years, taking into consideration the relevant provisions of the Finance Act, 2019

Suggested solution

(a) Determination of basis period

YOA	Basis period for assessment	Basis period for capital allowance
2021	1/2/20 – 31/3/20	1/2/20 – 31/3/20
2022	1/4/20 – 31/3/21	1/4/20 – 31/3/21

(b) Determination of basis period

Allowances	Building	Furn.	Mach.	Motor vehicle	Total
Initial allowance (%)	15	25	50	50	
Annual allowance (%)	10	20	25	25	
	(‘000)	(‘000)	(‘000)	(‘000)	(‘000)
	₦	₦	₦	₦	₦
Assessment Year – 2021	Cost:				
1/2/20 – Building	5,000				
1/2/20 – Furniture		1,500			

Allowances:	Initial allowance	(750)	375		1,125
	Annual allowance (w .1)	(107)	(56)		163
					1,288
Written Down Value – c/f		4,143	1,069		
Assessment Year – 2022	Cost:				
	1/4/20 – Machinery			2,000	
	3/5/20 – Jeep - - -				3,000
Allowances:					
	Initial allowance -			- (1,000)	(1,500)
	Annual allowance	(425)	(225)	(250)	(375)
					2,500
					1,275
					3,775
Written down value – c/f		3,718	844	750	1,125

Carry-back of capital allowances on cessation of business: On cessation of trade or business, unabsorbed capital allowances arising in the assessment year in which trade or business permanently ceases, may be carried back for relief against, the remainder of profits of the five years of assessment preceding the final year of trading or business.

The relief should first be claimed against the remainder of profits of the penultimate year, and thereafter, the pre-penultimate year and so on.

Computation of balancing adjustments on disposal of qualifying capital expenditure

Balancing charge: Balancing charge is one of the components of balancing adjustment, which is obtained when an asset is disposed off. It occurs where the sales proceeds exceed the tax written down value at the time of disposal.

Balancing charge is regarded as an additional taxable value. However, the maximum amount payable should not exceed the total capital allowances claimable on the asset before the disposal of the capital expenditure.

Balancing allowance: This occurs where the sales proceeds on disposal of qualifying expenditure is less than the tax written down value of the asset. This can be regarded as an additional annual allowance as it reduces tax liability.

A balancing allowance can only be made if immediately prior to the disposal of the asset, it was in use by the owner of the trade or business for the purposes of which qualifying expenditure was incurred.

Worked examples

Questions

- (1) Ultimate Limited is a company engaged in the production and sale of new electric cookers. The company ceased business on May 31, 2020 due to stiff competition from importers of fairly used cookers.

The company achieved an annual gross turnover of over N100,000,000 in 2019 and 2020 before cessation. The results of the company revealed the following for the year ended December 31,

Assessable profits	₦
2012	1,800,000
2013	2,300,000
2014	3,500,000
2015	1,500,000
2016	1,700,000
2017	1,200,000
2018	950,000
2019	780,000
5 months ended May 31, 2020	250,000

The company's claims for capital allowances are as follows:

Assessment year	Capital allowances
	₦
2013	1,950,000
2014	920,000
2015	1,350,000
2016	870,000
2017	850,000
2018	730,000
2019	950,000
2020	990,000

Balancing allowance after disposal of all company's property, plant and equipment on cessation of business amounted to ₦ 2,350,000.

Required: Compute the company's income tax liabilities for 2013 to 2020 assessment years, taking into consideration the relevant provisions of the Finance Act, 2019.

- (2) XYZ Limited commenced business on February 1, 2020, and makes up its accounts to March 31, each year. The turnover for each assessment year was over N25million.

It acquired property, plant and equipment (PPE) as follows:

Date	PPE purchased	Cost
		N
1/2/20	Building	6,000,000

1/2/20	Furniture	1,500,000
1/4/20	Machinery	8,000,000
31/5/20	Motor vehicle	3,000,000

Required: Determine the basis period and compute the capital allowances for all the relevant years of assessment, taking into consideration the provisions of the Finance Act, 2019.

(3) Apex Limited incurred qualifying capital expenditure (QCE) of N2,000,000 on furniture and fittings in 2020 assessment year when the revenue of the company was N24,000,000. The company achieved revenue of N27,000,000 in 2023 assessment year. Required: Compute the capital allowances claimable for all the relevant years of assessment.

Suggested solutions to questions

(1) Ultimate Limited Computation of income tax liabilities

Assessment year 2013 (Based on 1/1/12 – 31/12/12)

	₦	₦
Assessable profit		1,800,000
Deduct: Capital allowances	1,950,000	
Restricted to 66 2/3% of ₦ 1,800,000	(1,200,000)	(1,200,000)
Unrelieved capital allowance c/f	750,000	
Total profit		600,000
Companies income tax payable (N 600,000) at 30%	₦180,000	
Tertiary education tax payable (N 1,800,000) at 2%	₦36,000	

Assessment year 2014 (Based on 1/1/13 – 31/12/13)

Assessable profit		2,300,000
Deduct: Capital allowances – For the year	920,000	
– Unrelieved b/f	750,000	
	1,670,000	
Restricted to ₦ 2,300,000 at 66 2/3%	(1,533,333)	(1,533,333)
Unrelieved capital allowances – c/f	136,667	
Total profit		766,667
Companies income tax payable (₦ 766,667) at 30%	₦230,000	
Tertiary education tax payable (₦ 2,300,000 x 2%)	₦46,000	

Assessment year 2015 (Based on 1/1/14 – 31/12/14)

Assessable profit		3,500,000
Deduct: Capital allowances – For the year	1,350,000	
– Unrelieved b/f	136,667	
		(1,486,667)
Total profit		2,013,333
Companies income tax payable (₦ 2,013,333) at 30% =	₦604,000	
Tertiary education tax payable (₦ 3,500,000) x 2% =	₦70,000	
Assessment Year 2016 (Based on 1/1/15 – 31/12/15)		
Assessable profit		1,500,000
Deduct: Capital allowances		870,000
Total profit		630,000
Companies income tax payable (₦ 630,000) at 30%	₦189,000	
Tertiary education tax payable (₦ 1,500,000) x 2%	₦30,000	
Assessment year 2017 (Based on 1/1/16 – 31/12/16)		
Assessable profit		1,700,000
Deduct: Capital allowances		(850,000)
Total profit		850,000
Companies income tax payable (₦ 850,000) at 30% =	₦255,000	
Tertiary Education tax payable (₦ 1,700,000 x 2%) =	₦34,000	
Assessment year 2018 (Based on 1/1/17 - 31/12/17)		
Assessable profit		1,200,000
Deduct: Capital allowances		730,000
Total profit		470,000
Companies income tax payable (₦ 470,000) at 30% =	N 141,000	
Tertiary Education tax payable (₦ 1,200,000 x 2%) =	N 24,000	
Assessment year 2019 (based on 1/1/18 – 31/12/18)		
Assessable profit:		950,000
Deduct:		
Capital allowances	950,000	
Restricted to (₦ 950,000) x 662/3%	(633,333)	(633,333)
Unrelieved capital allowances c/f	316,667	
Total profit		316,667
Companies income tax payable (₦ 316,667) at 30% =	N 95,000	

Tertiary education tax (₦ 950,000) x 2% =	N 19,000	
Assessment year 2020 (Based on 1/1/19 – 31/12/19)		
Assessable profits – 7/10 x 250,000		780,000
Deduct:		
Capital allowances for the year	990,000	
b/f	316,667	
	1,306,667	
Restricted to (₦ 780,000) x 662/3%	(520,000)	(520,000)
Unrelieved capital allowances c/f	786,667	
Total profit		260,000
Companies income tax payable (₦ 260,000) at 30% =	N 78,000	
Tertiary education tax (₦ 780,000) x 2% =	N 15,600	
Assessment year 2020 (Based on 1/1/20 – 31/5/20)		
Assessable profits		250,000
Deduct: Capital allowances for the year –		
balancing allow.	2,350,000	
- b/f	<u>786,667</u>	
	3,136,667	
Restricted to (₦ 780,000) x 662/3%	(250,000)	(250,000)
Unrelieved capital allowances c/f	2,886,667	
Total profit		0
Carried back against the remainder of profits as follows:		
2020 A/Y (260,000)		
2019 A/Y (316,667)		
2018 A/Y (470,000)		
2017 A/Y (850,000)		
2016 A/Y (630,000) 2,526,667		
The refundable by FIRS based on the foregoing:		
N A.Y.		
– 2016 – ₦ 630,000 at 30% 189,000		
– 2017 – ₦ 850,000 at 30% 255,000		
– 2018 – ₦ 470,000 at 30% 141,000		

– 2019 – ₦ 316,667 at 30% 95,000

– 2020 – ₦ 260,000 at 30% 78,000

Total ₦ 2,526,667 758,000

Tertiary education tax (N250,000 x 2%) 5,000

Notes: (a) Any part of the capital allowances, that is, N360,000 (N2,886,667 less N2,526,667), which remained unrelieved after carrying back against the remainder of profits for 2016, will be deemed lost. The period of carry back is limited to five (5) years before the year of cessation.

(b) If the company had ceased business in any month from July 2020 to December 2020, the year of cessation will be assessment year 2021.

(2) XYZ Limited

Computation of capital allowances for assessment years 2021 and 2022

(a) Determination of basis periods

YOA	Basis period for assessment	Basis period for capital allowances
2021	1/2/2020 – 31/3/2020	1/2/2020 – 31/3/2020
2022	1/4/2020 – 31/3/2021	1/4/2020 – 31/3/2020

(b) Computation of capital allowances

	Building	Furniture	Machinery	Motor vehicle	Total
Initial allowance (%)	15	25	50	50	
Annual allowance (%)	10	20	25	25	
	N	N	N	N	N
Assessment year 2021					
Cost	6,000,000	1,500,000			
Initial allowance	(900,000)	(375,000)			1,275,000
Annual allowance	(85,000)	(12,500)			97,500
					1,372,500
WDV. c/f to A.Y. 2022	5,015,000	1,112,500			
Assessment year 2022					
Cost			8,000,000	3,000,000	
Initial allowance	0	0	(4,000,000)	(1,500,000)	5,500,000
Annual allowance	(510,000)	(75,000)	(1,000,000)	(375,000)	1,960,000
Investment allowance	0	0	(800,000)	0	800,000
					8,260,000

W.D.V. c/f to A.Y. 2023	4,505,000	1,037,500	3,000,000	1,125,000
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Note

The investment allowance of N800,000 claimed in assessment year 2022 was not taken into consideration in arriving at the written down value of machinery carried forward to assessment year 2023.